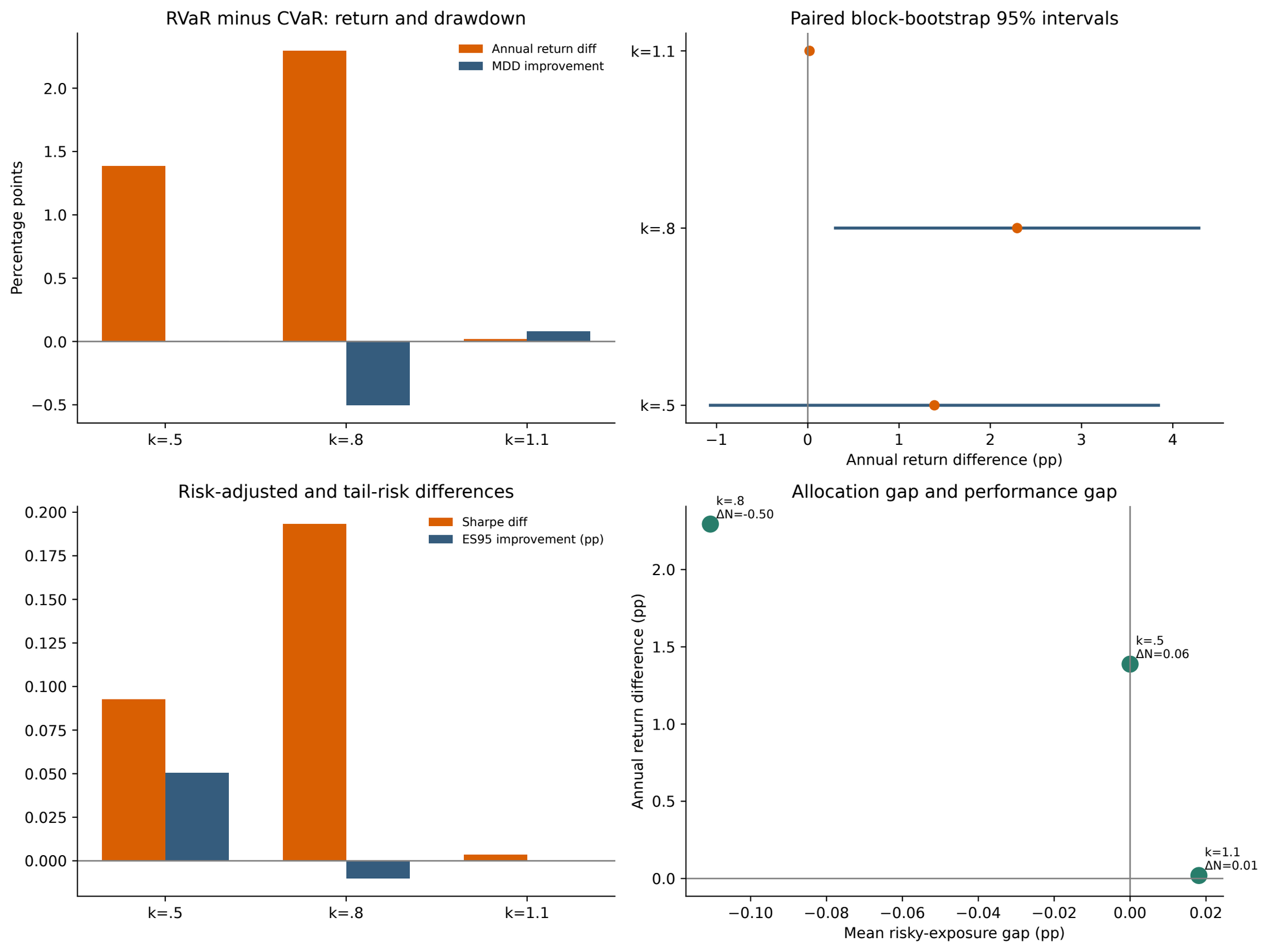
RVaR minus CVaR: return and drawdown
Annual return diff
MDD improvement
Percentage points
2.0
1.5
1.0
0.5
0.0
−0.5
k=.5
k=.8
k=1.1
Paired block-bootstrap 95% intervals
k=1.1
k=.8
k=.5
−1
0
1
2
3
4
Annual return difference (pp)
Risk-adjusted and tail-risk differences
Sharpe diff
ES95 improvement (pp)
0.200
0.175
0.150
0.125
0.100
0.075
0.050
0.025
0.000
k=.5
k=.8
k=1.1
Allocation gap and performance gap
k=.8
ΔN=-0.50
k=.5
ΔN=0.06
k=1.1
ΔN=0.01
Annual return difference (pp)
2.0
1.5
1.0
0.5
0.0
−0.10
−0.08
−0.06
−0.04
−0.02
0.00
0.02
Mean risky-exposure gap (pp)